

6-3b FDI versus Licensing

When entering foreign markets, basic entry choices include

- (1) exporting,
- (2) licensing, and
- (3) FDI.

Successful exporting may provoke protectionist responses from host countries, thus forcing firms to choose between licensing and FDI (see [Chapters 5 and 10](#)). Between licensing and FDI, which is better? Three reasons may compel firms to prefer FDI to licensing ([Table 6.1](#)).

Table 6.1

Why Firms Prefer FDI to Licensing

- FDI reduces dissemination risks
- FDI provides tight control over foreign operations
- FDI facilitates the transfer of tacit knowledge through “learning by doing”

First, FDI affords a high degree of direct management control that reduces the risk of firm-specific resources and capabilities being opportunistically taken advantage of. One of the leading risks abroad is [**dissemination risks** \(The risk associated with unauthorized diffusion of firm-specific know-how.\)](#)

, defined as the possibility of unauthorized diffusion of firm-specific know-how. If a foreign company grants a license to a local firm to manufacture or market a product, the licensee (or an employee of the licensee) may disseminate the know-how by using it against the wishes of the foreign company. For instance, Pizza Hut found out that its long-time licensee in Thailand disseminated its know-how and established a direct competitor, simply called The Pizza Company, which controlled 70% of the market in Thailand. While owning and managing proprietary assets through FDI does not completely shield firms from dissemination risks (after all, their employees can quit and join competitors), FDI is better than licensing that provides no management control at all. Understandably, FDI is

extensively used in knowledge-intensive, high-tech industries, such as automobiles, electronics, chemicals, and IT.

Second, FDI provides more direct and tighter control over foreign operations. Even when licensees (and their employees) harbor no opportunistic intention to take away “secrets,” they may not follow the wishes of the foreign firm that provides the know-how. Without FDI, the foreign firm cannot order or control its licensee to move ahead. For example, Starbucks entered South Korea by licensing its format to ESCO. Although ESCO soon opened ten stores, Starbucks felt that ESCO was not aggressive enough. But there was very little Starbucks could do. Eventually, Starbucks switched from licensing to FDI, which allowed Starbucks to directly call “the shots” and promote the aggressive growth of the chain in South Korea.

Finally, certain knowledge (or know-how) calls for FDI, as opposed to licensing. Even if there is no opportunism on the part of licensees and if they are willing to follow the wishes of the foreign firm, certain know-how may be simply too difficult to transfer to licensees without FDI. Knowledge has two basic categories:

- (1) explicit and
- (2) tacit.

Explicit knowledge is codifiable (i.e., it can be written down and transferred without losing much of its richness). Tacit knowledge, on the other hand, is non-codifiable and its acquisition and transfer requires hands-on practice. For instance, a driving manual represents a body of explicit knowledge. However, mastering this manual without any road practice does not make you a good driver. Tacit knowledge is evidently more important and harder to transfer and learn—it can only be acquired through learning by doing (in this case, driving practice supervised by an experienced driver). Likewise, operating a Wal-Mart store entails a great deal of knowledge, some explicit (often captured in an operational manual) and some tacit. However, simply giving foreign licensees a copy of the Wal-Mart operational manual will not be enough. Foreign employees will need to learn from experienced Wal-Mart personnel side-by-side (learning by doing).

From a resource-based standpoint, it is Wal-Mart’s tacit knowledge that gives it competitive advantage (see Chapter 4). Wal-Mart owns such crucial tacit knowledge, and has no incentive to give it away to licensees without having some management control over how such tacit knowledge is used. Therefore, properly transferring and controlling tacit knowledge calls for FDI. Overall, ownership advantages enable the firm, now becoming an MNE, to more effectively extend, transfer, and leverage firm-specific capabilities abroad. Next, we discuss location advantages.

